

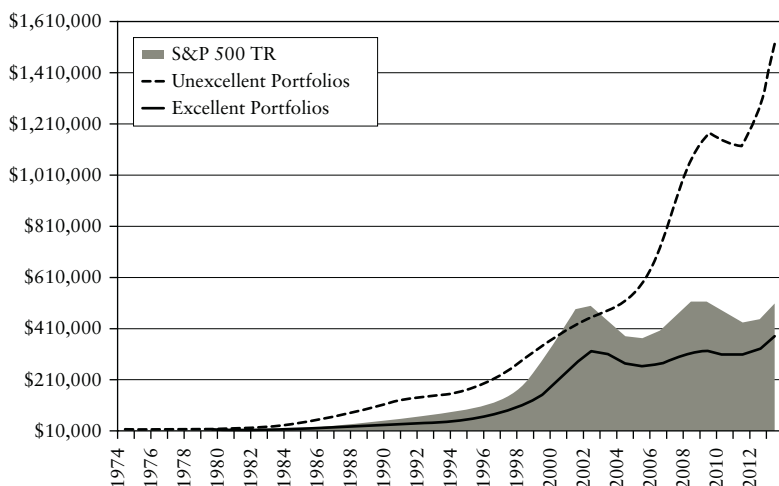


FIGURE 7.1 Comparison of Unexcellent and Excellent Stock Portfolios (1972 to 2013)

Source: Stifel Financial Corp. and Eyquem Investment Management LLC.

The issue was resolved in 2013 when Barry B. Bannister of Stifel Financial Corp., a brokerage and investment bank based in St. Louis, Missouri, tested Peters' excellent companies and Clayman's unexcellent companies from June 1972 to June 2013.⁵⁸ Bannister found that the unexcellent stock portfolios returned 13.74 percent on average over the full period versus 9.77 percent for the excellent portfolios. Not only did the excellent portfolios underperform the unexcellent portfolios, they underperformed the market, which returned 10.59 percent annualized over the full period. Figure 7.1 shows the value of \$1,000 invested in the unexcellent company portfolios compared to the same amount invested in excellent company portfolios on the last day of June 1972 as of June 30, 2013, and includes the S&P 500 for reference.

Bannister found that the unexcellent portfolios outperformed the excellent portfolios in the majority (67 percent) of years in the four-decade experiment. The advantage of the unexcellent portfolios persisted even after adjusting for volatility. Further, though we might assume that excellent stock portfolios offer "defensive" characteristics, excellent stock portfolios only outperformed the unexcellent portfolios in 11 of 22, or 50 percent of periods featuring "global economic difficulty," which Bannister defined as global real GDP growth less than the average of the full period. This compares to the unexcellent portfolios outperforming the excellent counterparts in 15 of 17 (or 88 percent) of periods that did not feature global economic difficulty.